

China Daily Brief

Saturday, September 12, 2026

2,601 words · 10 min read

RE: RE: Xi lands in Delhi for BRICS · HK Tiananmen sentences handed down · Trump open to China-built cars · MOFCOM warns US on spying

USD/CNY
6.7075
▼ -0.05%

SSE COMPOSITE
3,888.11
▼ -1.13%

HANG SENG
24,805.63
▼ -3.30%

BRENT
\$104.61
▲ +6.83%

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• TODAY AT A GLANCE

- 1 Xi Jinping arrived in New Delhi for the 18th BRICS Leaders' Meeting, his first visit to India since 2019, with bilateral talks with Modi set to follow the Kazan and Tianjin meetings.
- 2 A Hong Kong court sentenced three Hong Kong Alliance leaders, Chow Hang-tung, Lee Cheuk-yan and Albert Ho, to prison terms of up to seven years and three months under the national security law for organizing Tiananmen vigils.
- 3 Trump said he'd be fine with Chinese automakers building cars in the US as long as they employ American workers, as Beijing readies a CEO delegation for Xi's Sept. 24 Washington visit.

DIPLOMACY

Xi lands in Delhi for BRICS summit, bilateral talks with Modi

Xi Jinping arrived in New Delhi Saturday for the 18th BRICS Leaders' Meeting, his first visit to India since 2019. He and Narendra Modi are set for their third consecutive annual bilateral, following the Kazan and Tianjin meetings, per China's MOFA.

REUTERS, SEPT 12

DIPLOMACY

HK court sentences three Tiananmen vigil organizers to prison

A Hong Kong court sentenced Chow Hang-tung, Lee Cheuk-yan and Albert Ho to prison terms of up to seven years and three months under the national security law. MOFA spokesperson Mao Ning said Friday Hong Kong is "a society ruled by law" and the central government "firmly supports" the SAR's national-security enforcement.

AP, SEPT 11-12

US-CHINA

Trump says he'd be OK with China building cars in the US

Trump told Fox News he would accept Chinese automakers manufacturing in the US, comparing it to Japanese carmakers that "employ American workers." He said he opposes Chinese firms building in Mexico and shipping finished cars into the US; US industry groups have urged Congress to permanently bar Chinese vehicles from the market.

REUTERS/BLOOMBERG, SEPT 12

SANCTIONS

US links Chinese satellite imagery to Iranian strike killing 3 troops

The Wall Street Journal reported the US has linked Chinese commercial satellite imagery to an Iranian strike that killed three US troops, citing officials familiar with the intelligence assessment.

WSJ, SEPT 11

CROSS-STRAIT

China warns it could cancel Trump-Xi summit over Taiwan arms sales

Beijing has warned it could cancel the planned Sept. 24 Trump-Xi summit in Washington if the US approves new arms sales to Taiwan, Kyodo reported, citing sources familiar with the discussions.

KYODO NEWS, SEPT 12

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- TECHNOLOGY** Ukraine set for 5G bids but legal gap invites China vendor risks · Nikkei Asia
Ukraine is preparing a long-awaited 5G spectrum auction without a regulatory framework to screen high-risk vendors, Nikkei reported. Critics warn the gap could let Chinese equipment makers into networks despite security concerns raised by allies.
-
- ENERGY** Japan weighs fast breeder reactor as China, Russia lead the technology · Nikkei Asia
Tokyo is considering building a next-generation fast breeder nuclear reactor to cut dependence on foreign fuel supplies, Nikkei reported. China and Russia currently lead deployment of the reprocessing-capable reactor technology.
-
- DIPLOMACY** Xi announces China to chair BRICS in 2027, host 19th summit · CNA (Taiwan)
Xi Jinping told the New Delhi summit's first session that China will assume the BRICS rotating chairmanship next year and host the bloc's 19th leaders' meeting. The bloc marks its 20th anniversary this year, having grown from four founding members' 2006 first meeting to 11 full members and 10 partner countries.
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- DIPLOMACY** Kremlin doesn't rule out Putin-Trump meeting in China at APEC · Lianhe Zaobao
Kremlin press secretary Dmitry Peskov said no final arrangement exists yet for a Putin-Trump meeting but that one could eventually happen, citing November's APEC summit in Shenzhen. Foreign Minister Sergei Lavrov earlier said Putin could accept a trilateral US-China-Russia summit proposal if made as part of APEC.
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- CROSS-STRAIT** Taiwan Coast Guard to test rapid conversion to 16-missile platforms · Taiwan News
Taiwan's Coast Guard will trial rapid conversion of its cutters into 16-missile platforms, per Taiwan News. The move is part of broader efforts to bolster maritime deterrence capacity short of full naval assets.
-
- TECHNOLOGY** Hong Kong lags in AI race ahead of Sept. 16 policy address · SCMP
SCMP's preview of Hong Kong's five-year plan and policy address examines the city's gap in AI adoption. The report is the third in a series previewing the September 16 announcement.
-
- TECHNOLOGY** Huawei rolls out AI tourism-promotion tool for Xi'an region · Nikkei Asia
Huawei developed a large language model trained on regional history to generate tourism content for the Xi'an area, Nikkei reported. The tool is aimed at boosting local cultural-tourism marketing.
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DIPLOMACY · SCMP

MOFCOM demands US 'stop all spying,' warns of retaliation

China's Commerce Ministry urged Washington to immediately halt espionage against Chinese firms and warned it has "firm resolve and abundant means" to retaliate, after a senior CIA official defended expanded spying on China's AI and chip sectors. The exchange lands two weeks before Xi's Sept. 24 Washington visit, where AI and advanced technology remain the unresolved edge of the relationship.

CONGRESS · BLOOMBERG

Trump ally Daines says US underestimates China's tech sector

Sen. Steve Daines, who visited Hangzhou and Guangzhou in August after earlier meetings with Li Qiang, Wang Yi and Zhao Leji, told Bloomberg the US has underestimated "the quality and scale of China's technology innovation ecosystem." He urged tempered expectations for any AI breakthrough at the Sept. 24 Trump-Xi summit.

CONGRESS · SCMP

Chinese AI firms shunned US congressional delegation, USCC says

Leading Chinese AI firms declined to meet a US congressional advisory commission on its recent Beijing visit, fearing exposure to US sanctions, the commission said. A member quoted firms saying they feared being "put on" a sanctions list for engaging with the panel.

SANCTIONS · JAPAN TIMES

Secret mechanism kept billions in Chinese goods flowing to Iran

The Japan Times reported on a billion-dollar trade mechanism that kept Chinese goods flowing into sanctioned Iran, without detailing the specific companies or dollar volumes involved. The report adds to scrutiny of sanctions-evasion channels ahead of the Xi-Trump summit.

CROSS-STRAIT · TAIPEI TIMES

Taiwan drafts travel advisory as China's new border rules loom

NSC adviser Alex Huang said Taipei is drafting guidance for citizens traveling to China as Beijing's revised entry-exit rules, which may extend to phone and device inspections, take effect Sept. 15. Huang flagged civil servants, village wardens and judicial personnel as at heightened risk of being targeted for intelligence gathering.

CROSS-STRAIT · DW CHINESE

Russia's unofficial Taipei office screens anti-Japan Soviet film

Russia's unofficial representative office in Taipei screened an 81-year-old Soviet film, "Smashing Japanese Militarism," for about 20 invited guests, prompting Taiwan's NSC to say it is watching China-Russia cognitive-warfare cooperation closely. Taiwan's MOFA said it respects "legitimate normal exchange" but urged Moscow's office to respect historical facts and democratic values.

JAPAN · NIKKEI ASIA

China hikes visa fee sevenfold for Japanese visitors

China's embassy in Japan said Friday it will raise visa fees for Japanese citizens roughly sevenfold from Monday, citing reciprocity. The move follows Japan's own fivefold hike in foreign-visitor visa fees in July, its first change since 1978.

INDIA · NYT

India's China trade deficit widens even as imports draw scrutiny

Trade between India and China has nearly doubled over five years, leaving New Delhi with a widening deficit and a dilemma over building its own industrial base, the New York Times reported. The imbalance persists as India tries to cut reliance on Chinese manufacturing inputs.

INDIA · WSJ

Shifting US alliances push rivals China and India together

Trump-era shifts in US alliance commitments are pushing India and China toward each other, the Wall Street Journal reported ahead of Xi's meeting with Modi in New Delhi. The rapprochement follows the two leaders' Kazan and Tianjin meetings over the past two years.

RUSSIA-CENTRAL ASIA · BLOOMBERG

Putin's China pivot complicates Modi's balancing act

Vladimir Putin's deepening tilt toward Beijing is complicating Modi's effort to balance Washington, Moscow and Beijing simultaneously, Bloomberg reported from the BRICS summit. Putin and Modi met separately on the summit sidelines to discuss the long-standing Russia-India relationship.

MULTILATERAL · NYT

Why emerging powers keep joining BRICS despite deep divisions

Leaders of China, Russia, India, Iran and other BRICS members gathered in New Delhi even as wars in the Middle East and Ukraine and soaring energy prices divide the group, the New York Times reported. The bloc has kept expanding membership even as it struggles to align on trade and sanctions responses.

MULTILATERAL · SCMP

Internal splits threaten to slow BRICS at 20-year mark

SCMP reported that differing member positions on the Gulf conflict, with the UAE and Saudi Arabia diverging from Iran, could slow BRICS' progress even as the bloc marks its 20th anniversary. Xi, Putin and Iran's Masoud Pezeshkian are among leaders attending the New Delhi summit.

Xi urges BRICS cooperation on 'AI-empowered new industrialization'

Xi Jinping urged BRICS members to elevate cooperation to "new heights" in AI, proposing an initiative on AI-empowered industrialization to deepen industrial and supply-chain links. He also urged the bloc to play a "due role" in Middle East peace, saying BRICS opposes bloc confrontation.

• STAT OF THE DAY
7x

Increase in China's visa fee for Japanese citizens, effective Sept. 14

Beijing's embassy in Tokyo cited 'reciprocity'; the move follows Japan's own fivefold hike in visa fees for foreign visitors in July, its first fee change since 1978.

Nikkei Asia / 新浪财经

• ECONOMY & BUSINESS

TECH / Z.AI · REUTERS

Z.AI launches \$5 billion Hong Kong share, convertible bond sales

Chinese AI developer Z.AI launched combined Hong Kong share and convertible bond sales worth \$5 billion, per a term sheet seen by Reuters.

MACRO · BLOOMBERG

Beijing urges state firms to sharpen overseas investment plans

China urged state-owned enterprises to optimize their overseas investment planning, Bloomberg reported, without detailing new capital thresholds.

TECH / ENFLAME TECHNOLOGY · NIKKEI ASIA

China's Nvidia challenger Enflame jumps 179% on Shanghai debut

Shanghai Enflame Technology, an AI chipmaker positioned as China's answer to Nvidia, surged 179% in its Shanghai market debut.

AUTO / BYD · NIKKEI ASIA

BYD shelves own Malaysia plant plan, seeks local partner instead

BYD is now in "advanced talks" with a local Malaysian partner rather than building its own assembly plant, Nikkei reported.

FINANCE / CVC, EQT, GINKO · REUTERS

CVC in final talks for EQT's Ginko China business

Private equity firm CVC is in final talks to acquire EQT's Ginko China unit, Reuters reported, citing people familiar with the matter.

MACRO · CNN

China's \$1 trillion 'loneliness economy' reshapes Asian consumption

A growing cohort of single, childless or otherwise solo consumers is reshaping China's consumer profile, CNN reported, sizing the trend at roughly \$1 trillion.

• WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · SATURDAY, SEPTEMBER 12, 2026

中国人民银行 · PBOC · *PBOC (institutional announcement)*

To run four straight days of overnight reverse repos, Sept. 14-17

Daily cap of 600 billion yuan to cover the Sept. 15 tax-filing deadline and government bond issuance settlement, the second consecutive week the tool has been used to smooth short-term liquidity.

→ [PBOC ZH](#) ↗

中国人民银行/国务院 · PBOC · *Lu Lei (陆磊), PBOC Deputy Governor*

Unveiled 15th Five-Year Plan for building a 'financial powerhouse'

Plan sets tasks including strengthening macro regulation, shifting from quantity-based to price-based (interest rate) monetary tools, and expanding financial opening, per a State Council briefing.

→ [PBOC/State Council ZH](#) ↗

PERSONNEL CHANGES

Shi Dai (石岱) **APPOINTED**

Chairman, Hong Kong China Travel Service (Group) Ltd. (香港中旅集团)

The Central Organization Department named Shi Dai, 59, as chairman of Hong Kong China Travel Service, the sole central SOE focused primarily on tourism (assets over 200 billion yuan, 42,000+ employees). He previously served as director and general manager of China Merchants Group.

商务部 · MOFCOM · US INTELLIGENCE COLLECTION TARGETING CHINESE FIRMS

WARNING · TO US

MOFCOM spokesperson · Ministry of Commerce spokesperson

“Per SCMP: Beijing urged Washington to "immediately stop all espionage activities" targeting Chinese firms, warning it has "firm resolve and abundant means" to retaliate.”

Statement follows a senior CIA official's public defense of expanded US intelligence collection on China's AI, semiconductor and biotech sectors.

SCMP

外交部 · MOFA · HONG KONG ALLIANCE TIANANMEN VIGIL CASE SENTENCING

FIRM · TO OTHER

Mao Ning · MOFA spokesperson

“China has made clear its solemn position on the Hong Kong Alliance case. Hong Kong is a society governed by the rule of law, and the central government firmly supports the Hong Kong SAR in safeguarding national security and combating acts that endanger it in accordance with the law.”

中方已就“支联会”案阐明严正立场。香港是法治社会，中央政府坚定支持香港特区依法维护国家安全、打击危害国家安全的行为。

Delivered at the Sept. 11 MOFA briefing after a Hong Kong court sentenced three Hong Kong Alliance leaders for organizing Tiananmen vigils.

Sohu (外交部发言人答问汇总)

外交部 · MOFA · PROTEST OVER TAIWAN VP HSIAO BI-KHIM'S ITALY VISIT

FIRM · TO TAIWAN

Mao Ning · MOFA spokesperson

“China has lodged serious representations with Italy and the EU over a 'Taiwan independence' politician's attendance at a related meeting in Italy. The DPP authorities and certain politicians go out of their way to seek attention everywhere, using the banners of 'democracy' and 'freedom' to 'seek independence by relying on foreign forces', such behavior is contemptible and ultimately futile.”

中方已经就“台独”政客赴意大利出席有关会议，向意方、欧方提出了严正交涉。民进党当局和个别政客挖空心思四处蹭热度，打着“民主”“自由”的幌子“倚外谋独”，这种行为令人不齿、终归徒劳。

Taiwan Vice President Hsiao Bi-khim traveled to Italy to attend a forum on Ventotene island, prompting Beijing's demarche to Rome and Brussels.

Sina (外交部发言人 ZH)

国台办 · TAO · 'ONE COUNTRY, TWO SYSTEMS' TAIWAN PROPOSAL

ROUTINE · TO TAIWAN

TAO spokesperson · Taiwan Affairs Office spokesperson

“Per Sina: The Taiwan Affairs Office said it welcomes more Taiwan compatriots discussing the specific content of the 'one country, two systems' Taiwan plan.”

乐见更多台湾同胞讨论“一国两制”台湾方案具体内容

Part of ongoing TAO messaging on the cross-strait reunification framework.

习近平 · XI JINPING · CHINA'S 2027 BRICS CHAIRMANSHIP

CONCILIATORY · TO OTHER

Xi Jinping · CCP General Secretary, President

“Per Xinhua: China will assume the BRICS chairmanship next year and host the 19th BRICS Leaders' Meeting, using the opportunity to build consensus and open a third 'golden decade' of BRICS cooperation.”

中方愿以此为契机，同各方凝聚共识、开创未来，开启金砖合作第三个“金色十年”，共创繁荣进步的光明前景。

Announced during the first-stage session of the 18th BRICS Leaders' Meeting in New Delhi on Sept. 12.

解放军报/新华社

• WHAT OTHERS ARE SAYING

联合早报 · SEPT 12

Hsiao Bi-khim · Taiwan Vice President

“Taiwanese people have the right to make friends just like people all over the world.”

Made at a forum in Ventotene, Italy, after a 27-hour journey and following Beijing's protest to Rome and Brussels over her attendance.

source

BLOOMBERG/联合早报 · SEPT 11

Steve Daines · US Senator, Trump ally

“I think we have underestimated the quality and scale of China's technology innovation ecosystem.”

Daines visited Hangzhou and Guangzhou in August after earlier meetings with Li Qiang, Wang Yi and Zhao Leji ahead of the May Trump-Xi summit.

source

联合早报 (VIA IZVESTIA) · SEPT 11

Dmitry Peskov · Kremlin Press Secretary

“There is no final agreement yet on the meeting, but with time, it will probably get there.”

Comment on a possible Putin-Trump meeting tied to the Nov. 18-19 APEC summit in Shenzhen.

source

DIPLOMACY

SCMP

HK ethnic minorities can aid belt-and-road outreach, minister says

Hong Kong's labour minister told a youth summit ethnic minority communities can play an 'important role' in belt-and-road ties.

THE DIPLOMAT

SCO summit lets smaller members avoid single-power subordination

The Diplomat argued smaller SCO states can use the China-India-Russia forum without becoming subordinate to any one power.

BBC CHINESE

Wife of jailed HK Alliance leader Lee Cheuk-yan describes 40 years together

Deng Yin-ngo discussed decades of visits to Stanley Prison after her husband's national-security sentencing.

CROSS-STRAIT

TAIWAN NEWS

Taiwan VP Hsiao welcomed at European federalism birthplace conference

Hsiao Bi-khim was welcomed at a Ventotene forum during her Italy trip, which drew a formal Chinese protest.

TAIWAN NEWS

Taipei mayoral candidate Puma Shen visits Japan

The candidate's Japan trip comes ahead of Taiwan's Nov. 28 nine-in-one local elections.

FOCUS TAIWAN

Taiwan MOFA: Beijing has no right to interfere in VP's Italy trip

Taipei rejected China's protest to Rome and Brussels over Hsiao Bi-khim's attendance at an Italy forum.

TECHNOLOGY

YICAI

China unveils first inclusive-computing-power service list for SMEs

The list at the 2026 China Computing Conference covers general, AI and large-model computing for small businesses.

YICAI

China Computing Conference names 15 'annual breakthrough' tech achievements

Winners include ZTE's compressed chip-adaptation cluster and a record-setting hollow-core optical fiber compute link.

● UPCOMING

Sep
15

Beijing's revised entry-exit rules take effect

New PRC border regulations may extend to inspections of mobile phones and other devices; Taiwan's NSC is drafting travel-risk guidance ahead of the change.

Sep
16

Hong Kong's John Lee unveils first five-year plan

Policy address expected to address AI adoption gaps and belt-and-road positioning for the SAR.

Sep
18

Mukden Incident 95th anniversary

Recurring Japan-China flashpoint date, amid this week's visa-fee dispute and Chinese-language commentary on Japan's 'new militarism.'

Sep
20

State funeral for Tung Chee-hwa, Hong Kong's first chief executive

State leaders and central government officials expected to join the funeral committee, per SCMP sourcing.

Sep
24

Xi Jinping state visit to Washington

First Chinese leader visit to the US since 2015; AI, export controls and CEO delegation composition remain unresolved threads from the May Beijing summit.

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Washington, D.C.

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